

Loan Estimate and Closing Disclosure Forms

Most real estate transactions that involve mortgages are required by law to use some specific forms for disclosure regarding the loan. The purpose of using these forms is to ensure that consumers get the information they need to make good decisions regarding one of the most important financial transactions most people will ever make: buying a home. These forms help consumers determine:

- Whether they can afford the loan
- The relative cost of different loan offers, including the loan cost over time

Lenders have been required to provide this type of disclosure for many years under the Real Estate Settlement Procedures Act (RESPA) and the Truth in Lending Act (TILA, also known as Regulation Z, or Reg Z). RESPA and TILA require-in part-that consumers be provided with disclosures regarding the type of loan for which they were applying, all fees associated with that loan, and its payment schedule, as well as a full disclosure regarding the estimated costs they must pay with regard to closing (settlement). RESPA also helps to prevent illegal kickbacks.

In recent years, the requirements under the Dodd-Frank Wall Street Reform and Consumer Protection Act went into effect. Under the Dodd-Frank Act, Congress gave the Consumer Financial Protection Bureau (CFPB) the responsibility to adopt specific mortgage rules. The Dodd-Frank Act changed the previous requirements under RESPA and the TILA.

The law now requires that two specific forms-the **Loan Estimate** and **Closing Disclosure** forms-must be used for all residential closings.

How Lenders Provide the Forms

When borrowers apply for a mortgage loan, their mortgage brokers and/or lenders must give them the Loan Estimate form, which lists the charges the buyer is likely to pay at settlement. This discloses the mortgage loan specifics, such as its key features, costs, and risks. Buyers must be given this form upon submitting a loan application, or within three business days after submitting a loan application.

Lenders must provide the Closing Disclosure form to borrowers a minimum of three business days before closing on the mortgage loan. This form provides disclosures about the costs of the transaction, and includes columns for borrower-paid and seller-paid closing costs. This time period is designed to allow the consumers to compare the final terms and costs of closing to the Loan Estimate they received at application. Consumers can also use this three-day period to consider any questions they need to raise before they get to the closing.

Both the Loan Estimate form and the Closing Disclosure form have been developed with clarity in mind to make the information easy to understand for consumers as well as all other parties involved. Important items, such as interest rates and monthly payments, are conspicuous. The idea is to not force anyone into a hunt for answers to their questions concerning a loan or closing costs.

The Loan Estimate and Closing Disclosure forms must be used for most consumer mortgages. They **cannot** be used for home equity lines of credit, reverse mortgages, mortgages secured by a mobile home, or mortgages secured by a dwelling that is not attached to real property (land). In those cases, other disclosure requirements apply under RESPA and TILA.

Additional Disclosures

In addition to the Loan Estimate and the Closing Disclosure, there are other disclosures a lender must give to consumers after consummation of the loan:

- **Escrow closing notice** : Provided prior to canceling an escrow account for any consumer who has such an account
- **Mortgage servicing transfer**: Disclosures must identify the mortgage loan that was sold, assigned or otherwise transferred
- **Partial payment notices**: Must identify whether the owner of an existing mortgage accepts periodic payments from the consumer that are less than the full amount due and whether these payments are applied to a consumer's loan or the owner of the mortgage holds the payments in a separate account until the consumer pays the remainder of the full amount due.